Corporate Bond Spread

Macro & Markets Team

Target Spread (Upside):	580 bps
Current Spread:	164 bps
Upside Potential:	17,21% on fund capital
Time Horizon:	2 Years
Recommendation:	**LONG US Corp. Spread**

Sector Leads: Felix Zozin & Teva Janura
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HIC Capital | Autumn 2025

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Topic Overview

Executive Summary

We recommend HIC Capital to invest into our high-yield corporate spread strategy

HIC Capital should invest in …

US High Yield Corporate Spread Widening

AI

- AI is in an infrastructure-first phase, with capital spending running ahead of proven cash returns
- Financing risk is rising as AI exposure shifts toward debt before adoption and monetization are clear
- Elevated vulnerability to slower adoption or tighter liquidity

Momentum

- Historically low credit spreads result in limited potential for continued tightening but ample widening room
- Current macro and liquidity uncertainty signals that spreads should be wider
- The technology sector is particulary exposed to future uncertainty and yields increasing

Implementation

- We short 1,836,600$ Notional Value of US Tech Corporate Bonds
- We invest 942,176$ in 30y US treasuries to Hedge our Interest Rate Exposure
- We pay 1.62% negative Carry p.a. on our Notional

HICC Market Fund

The HIC Capital Markets Fund

The Markets Fund Is Separate From the Equity Long-Only Fund

- HIC Capital is an **offshoot of HIC** and a **student-run investment fund**
- Consists of a **Virtual Long Equity Fund** and a **Virtual Markets Fund**

HIC Capital Equities Fund

- $1M Fund (virtual money)
- Longer-term (1-5 year) holdings of equities
- Investments based on company valuation

HIC Capital Markets Fund

- $1M Fund (virtual money)
- Short-, medium-, and long-term strategies
- Strategies based on current market conditions

Value Investing

- Find valuable stocks that are trading at a cheap price, buy them, and hold them for the long-term
- Company valuation done with DCFs and multiples

Trading

- Use financial instruments like options, futures, swaps, etc. to profit from macroeconomic trends and events
- Trading based on views of current market developments, using financial instruments

Main Equity Portfolio

- Holds a variety of stocks from different industries and countries
- Stocks are held for the long-term
- Long-only fund with a global mandate

Markets Portfolio

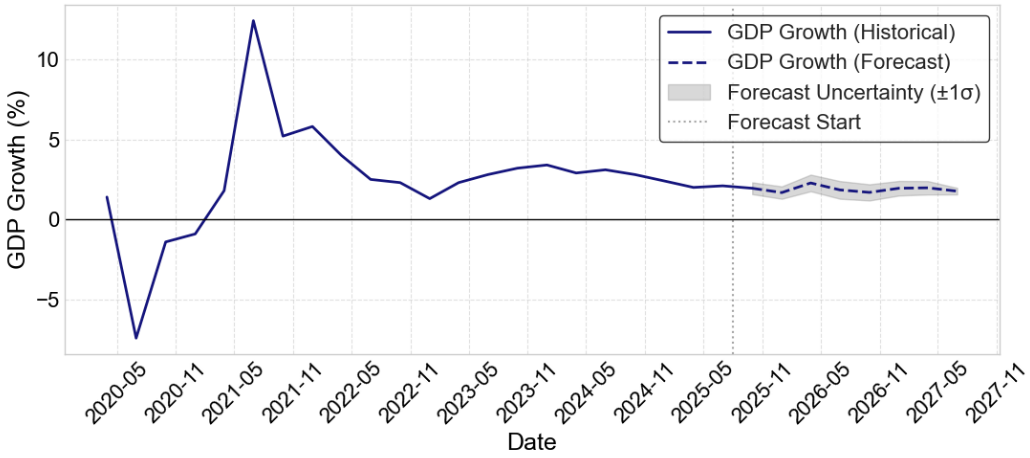
- Used for testing strategies developed by the markets sector
- Every strategy is tested
- Investments are generally more short-term

US Environment Overview

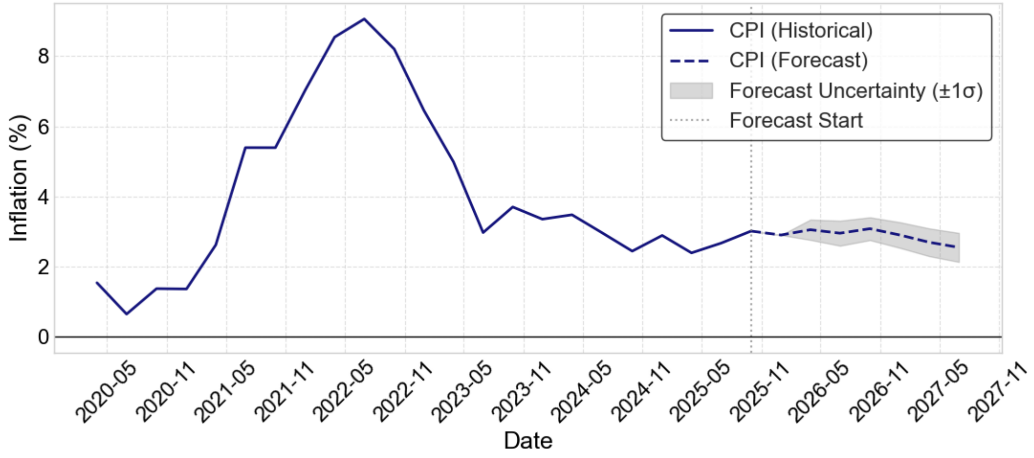
Overview of the American Economy

Growth persists while inflation returns to target

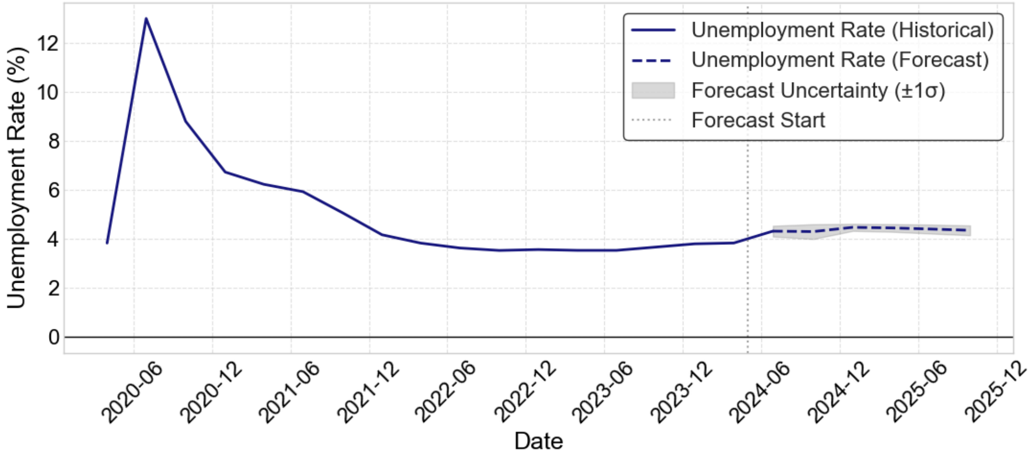
GDP Growth



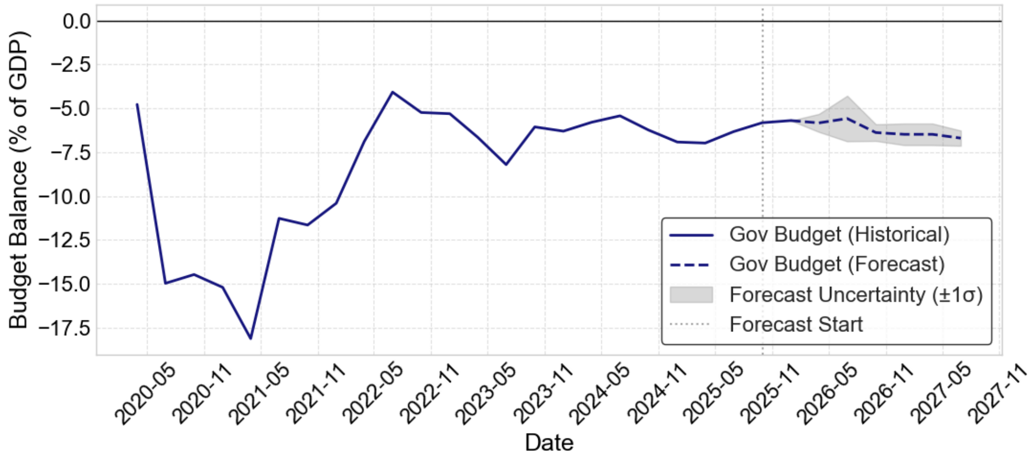
CPI growth



Labor Market



Budget Balance in Percentage of GDP

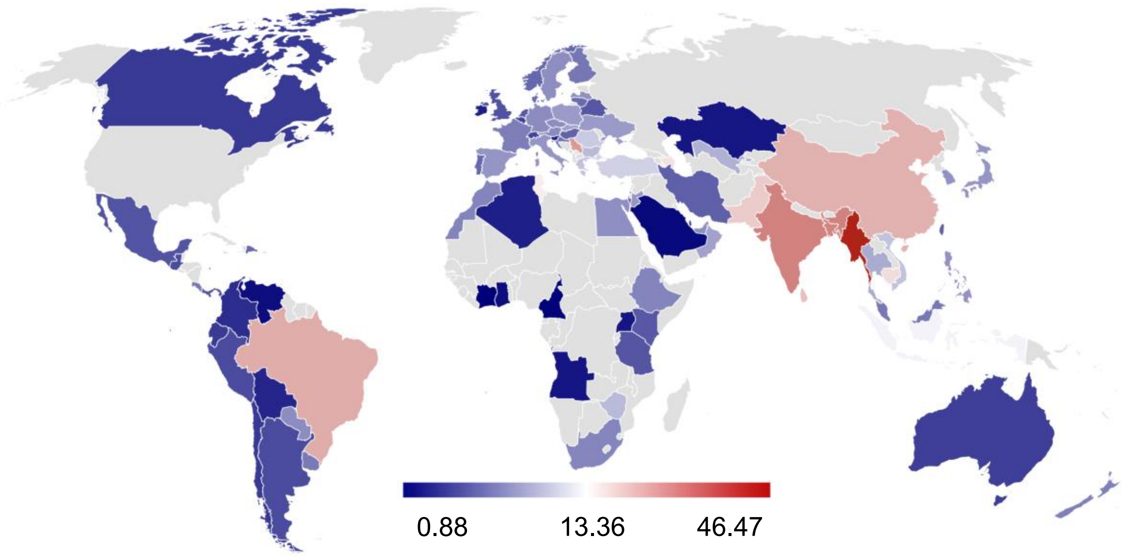


Source: Bloomberg

State of U.S. Tariffs

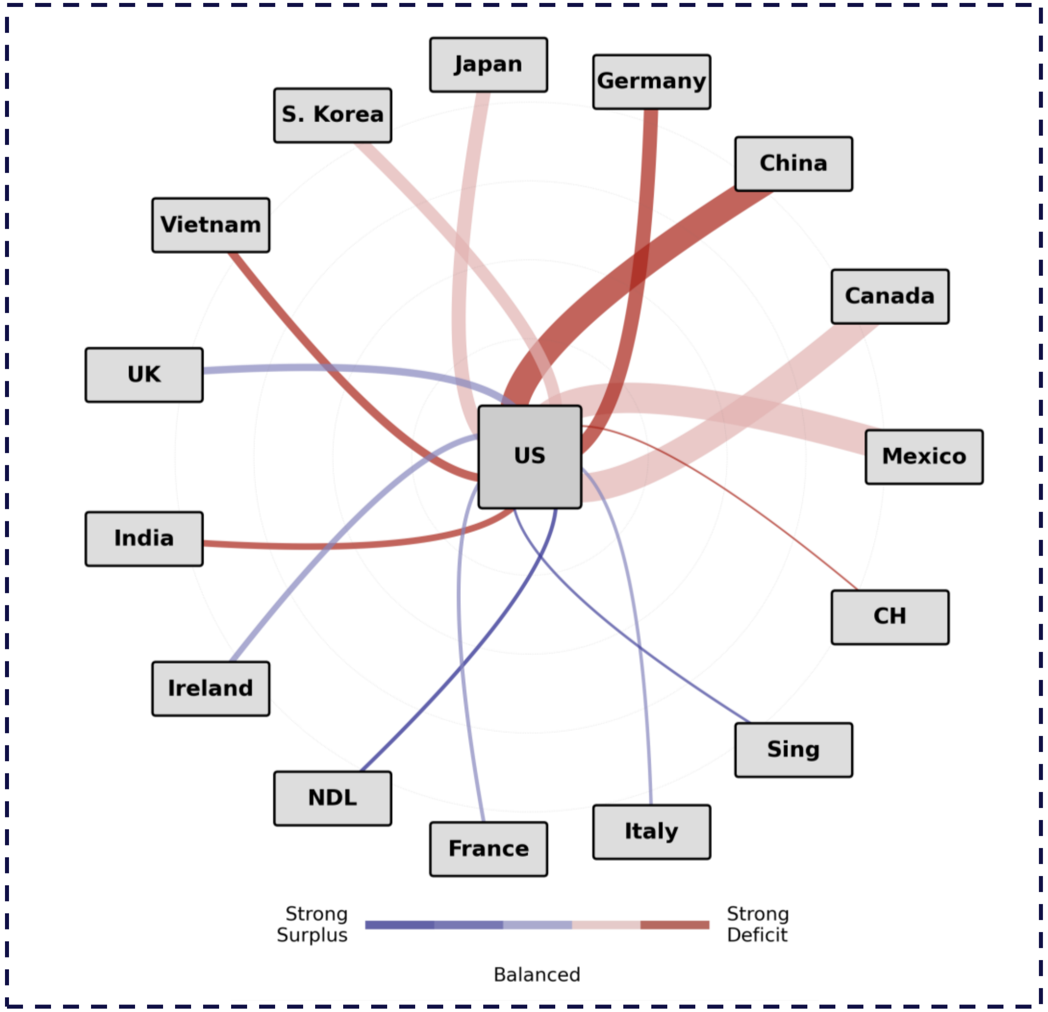
The U.S. continues to face a significant deficit while reducing major imposed tariffs

Map of tariffs across the world



- **Higher tariff exposure is concentrated in large U.S. trading partners,** particularly **China, India, Brazil, and parts of Southeast Asia**, rather than spread evenly across global trade
- The U.S. trade deficit is driven by a narrow set of bilateral relationships, with China, Mexico, and several Asian exporters accounting for a disproportionate share of import flows
- Notable decreases include Switzerland (-10.2%), Uganda (-12.2%), and China (-10.0%)
- Economic outcomes hinge on adjustment dynamics, where faster supply-chain substitution limits downside risk, while slower adjustment amplifies cost pressures and growth headwinds

U.S. trade flow with major partners (log. scale)

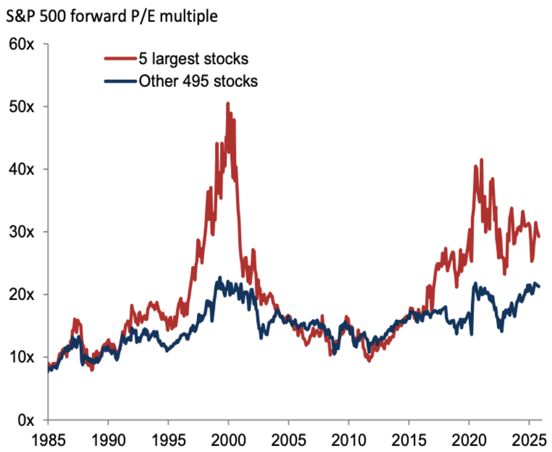


Current State of the AI Industry

Public AI-exposed equities have delivered outsized returns relative to the broader market, pushing valuation dispersion

The largest AI-exposed stocks trade at valuation multiples well below dot-com and 2021 peaks

Circular capital relationships blur true demand, echoing prior tech-bubble dynamics



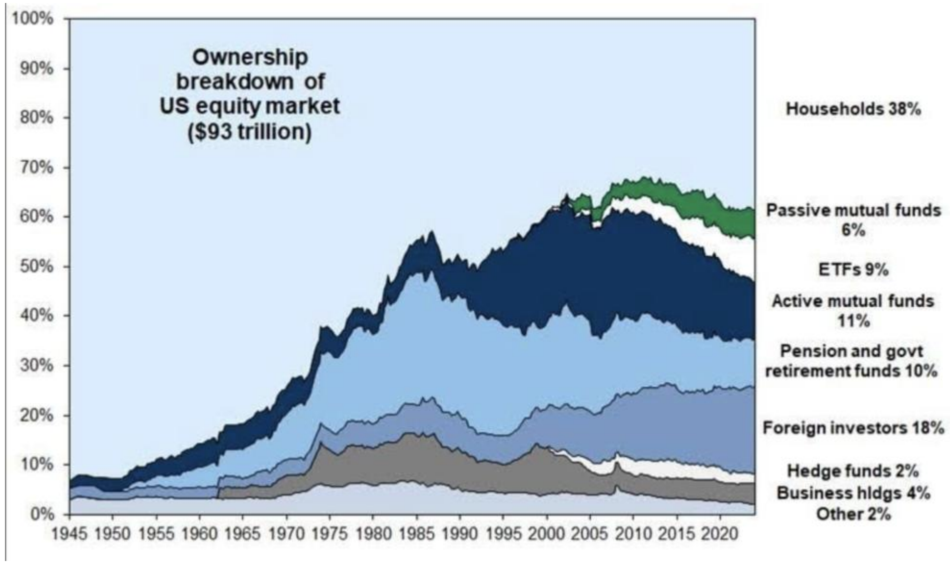
Private market valuations are well above public market valuations

Private Companies
Valued on revenue and incremental revenue growth with less focus on profits and margins

Public Companies
Valued on free cash flow, return on capital, margins, and how they trade relative to market

CONCLUSION

History shows that a widening between Private Market Valuations and Public Market Valuations can indicate risk



Downside Potential

- AI demand fails to scale fast enough to absorb current infrastructure build-out
- Revenue lag expectations while debt-funded capex continues to rise
- Higher rates or tighter financial conditions expose leverage and force capex cuts

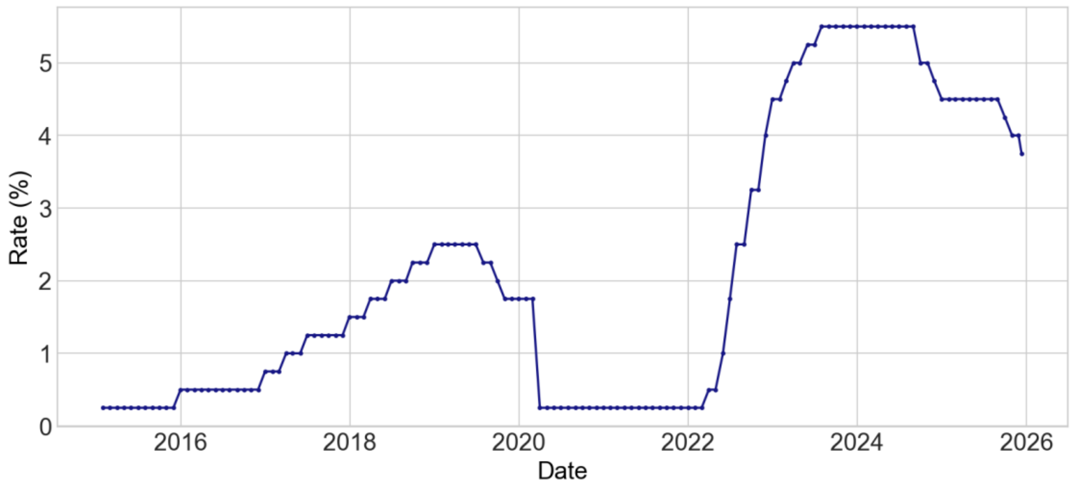
Upside Potential

- Enterprise adoption accelerates and utilization of AI infrastructure rises
- Productivity gains translate into durable revenues and free cash flow
- Capex normalizes as returns improve, validating current investment levels

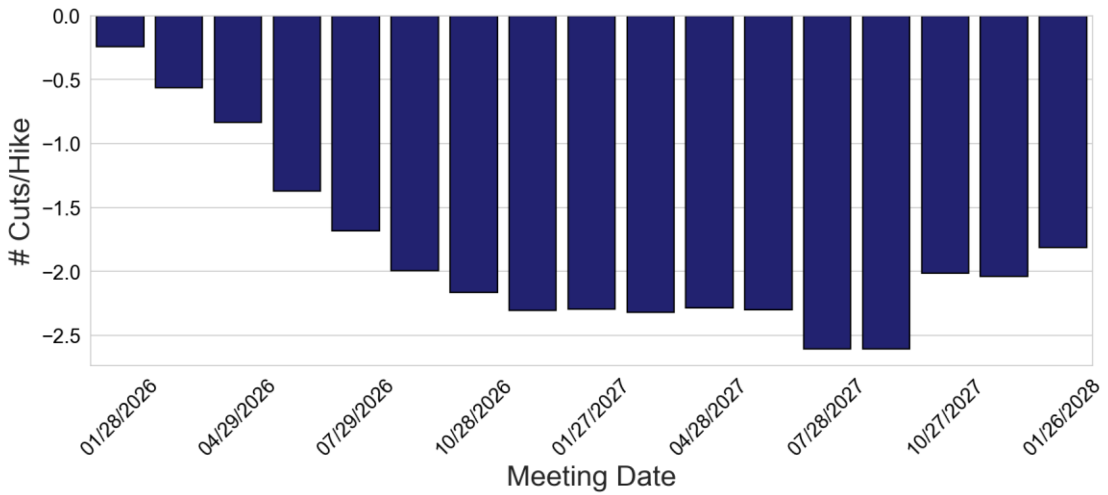
Federal Reserve

With the end of Jerome Powell's tenure, market expectations point to a more dovish successor

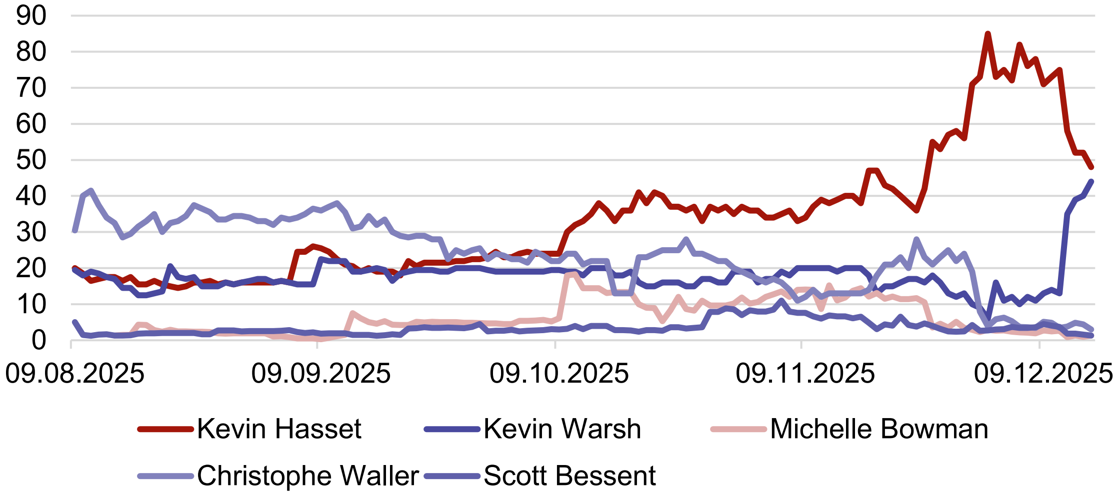
Upper bound target FED Rate



WIRP function: # cut priced into the market



Probability of the next FED chairman (Polymarket Data)



The Federal Reserve

The Federal Reserve (Fed)

- The Fed is the U.S. central bank, composed of the board of governers located in Washington, 12 regional federal reserves, and the Federal Open Market Committee (FOMC) that decides on monetary policy
- The Fed has a dual mandate of controlling inflation and maintaining low unemployment

Current News

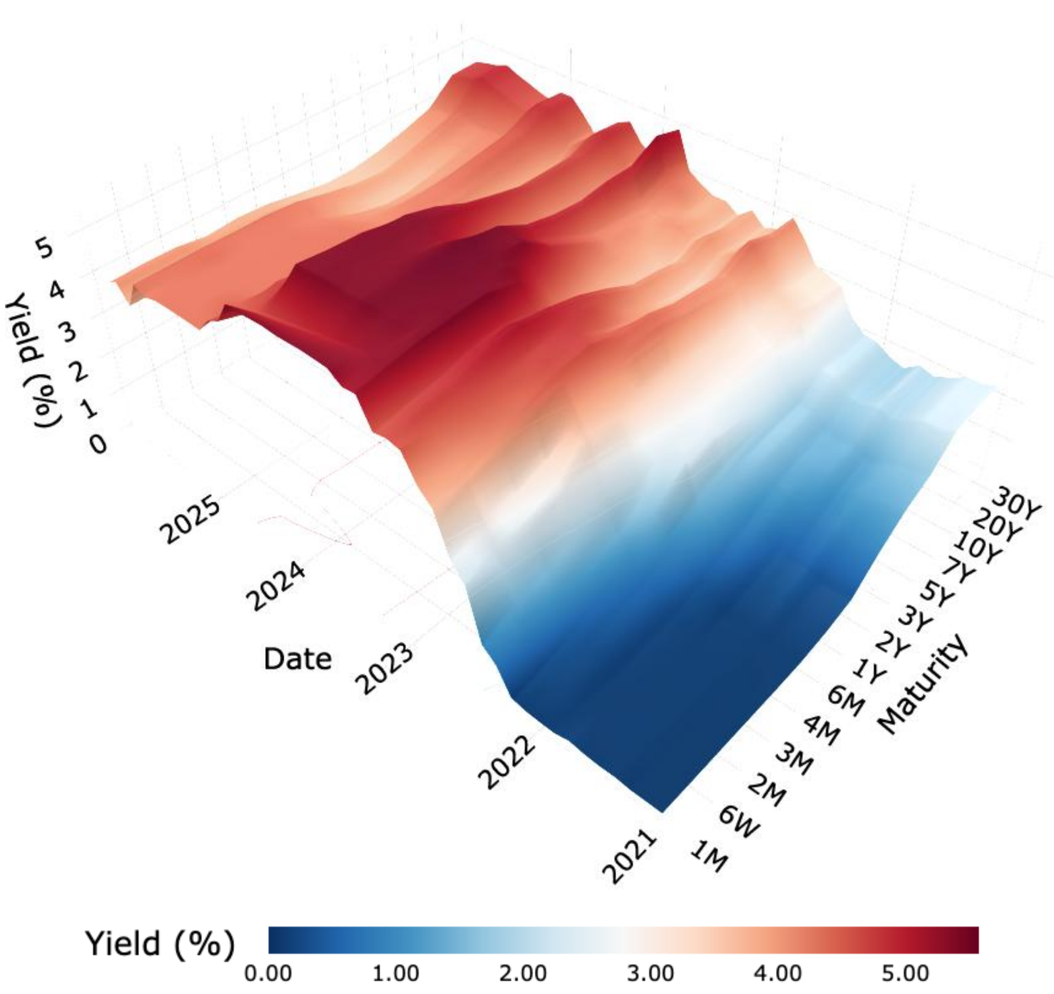
- The Fed recently cut ist interest rates on the 12th of December as the third cut of this year, leaving interest rates at 3.5-3.75%
- As the probable successor to Jerome Powell, Kevin Hassett is more dovish and favours further rate cuts

Source: Bloomberg, Polymarket

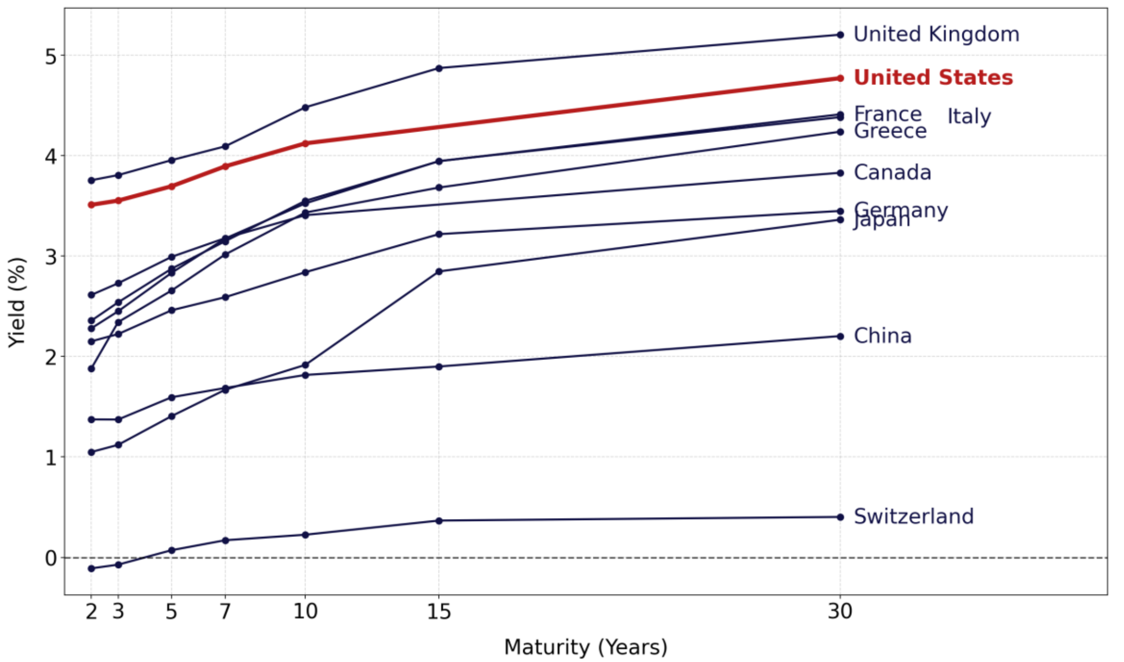
Yield curve environment

The yield curve has normalized following its record-long inversion, U.S. interest rates that are currently higher than international counterparts

Yield Surface of US Active Treasuries (2021–2025)



Yield Curve of highest GDP countries vs. USA



The Yield Curve

- The yield curve shows the relationship between U.S. Treasury yields and their maturities, showing expectations for how the interest rate will change over time
- An upward-sloping yield curve means that longer-maturity treasuries yield more than short-term treasuries, and that investors demand higher returns for longer periods
- Investors require higher compensation for longer maturities due to inflation uncertainty, interest rate risk, reduced liquidity, and opportunity cost

Source: Bloomberg

What is a bond ?

How Are Bonds Priced?

A bond's price is the present value of its future coupon payments and face value, discounted at the current market yield

How Are Bonds Priced?

$$Bond\ Price = \sum \frac{Coupon}{(1+YTM)^n} + \frac{Principal}{(1+YTM)^n}$$

Key Influencers of bond price: interest rates, credit risk, time to maturity, and liquidity

Other influencers: inflation expectations, coupon rate, and macro environment

Factors influencing bond prices…

Credit Risk

- Credit risk influences bond prices with the probability of default for the underlying bond.

Interest Rates

- When interest rates increase, currently issued bond prices decrease as new bonds can be issued with a higher yield.

Time to Maturity

- Greater time to maturity makes bond prices more expensive and volatile to interest rate changes.

Liquidity

- Market participant's investment confidence influences bond prices beyond fundamentals

Bond Cash Flow Timeline

Bond Issuance

Bond is issued with a fixed face value and periodic coupon payment.

Coupon #1

First coupon payment occurs. To find the bond price, this payment is discounted back to the present.

Coupon #2, 3,…, n-1

Further Coupon payments occur. To find the bond price, these are discounted back to the present.

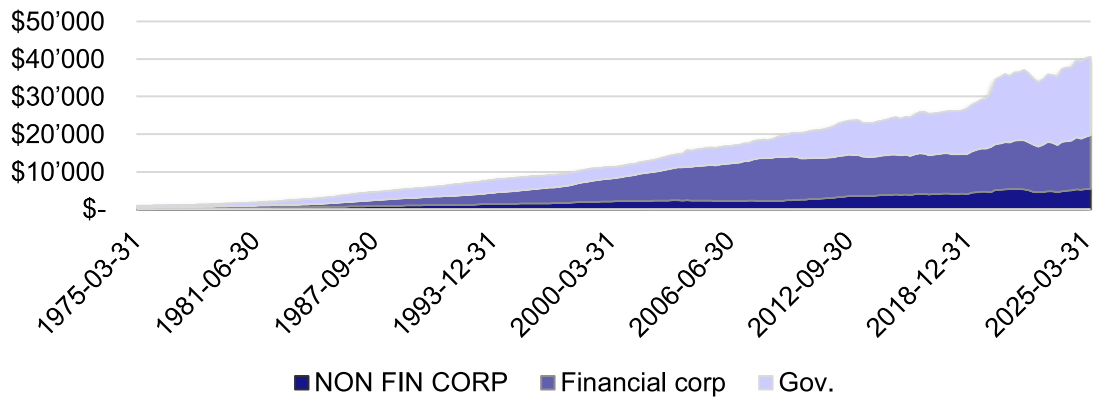
Final Coupon & Face Value Repayment

Final coupon payment occurs, and face value is repayed. To find the bond price, these two are discounted back to the present.

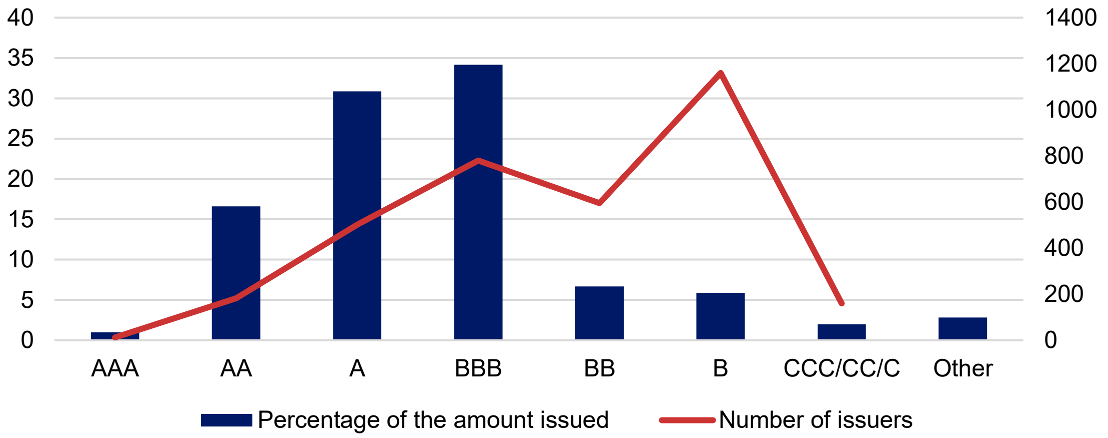
Credit market environment in the US

To issue bonds, a company must pay investors a credit spread—a premium above the risk-free rate—to compensate for potential default risk

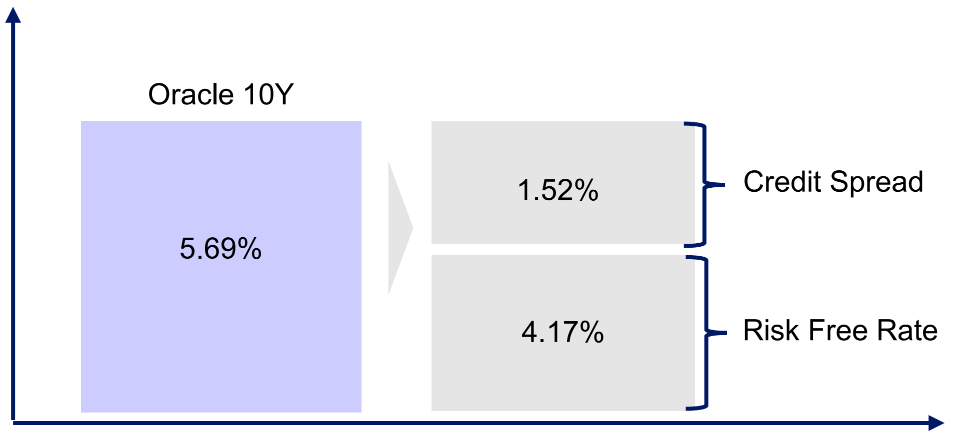
Market size



Rating distribution



What's the spread ?



Composition of a Bond

Bonds can be seen as being composed of the risk free rate and a spread:

- **Risk Free Rate**: is the same for bonds issued under the same currency with the same maturity.
- Here the risk free rate is the return from a 10-year U.S. Treasury note.
- **Credit Spread**: can be seen as the premium that investors require over the risk-free possible return, due to credit risk and market conditions.
- In this case for an Oracle 10Y bond, the spread would be 1.52%.

Trade Idea

Why Short Bonds Instead of Equities

Shorting bonds captures downside credit risk for our basket, with better downside protection vs. costs than equity shorts, CDS, or puts

Why Bonds Instead of Equities?

Option	High-Yield Corporate Bonds	Equities
Upside Potential	Maximum return is the bond yield and principle at maturity (pull-to-par)	Unlimited (through earnings growth, P/E, multiples, etc.)
Downside Risk	Often comes in sudden towntunrs when market confidence drops	Very high and consistently quite volatile
Macro Sensitivity	Highly sensitive to macro risks, volatility, and liquidity, leading to broad and sudden sell-offs	Macro dependent but single equities can diverge strongly

Why Short Bonds Instead of Buying Puts or CDS?

Option	Short Bonds	CDS	Bond Puts
Cost + Carry	Negative carry (~1.62% of notional per year for our trade)	Ongoing premium payments	Upfront premium + theta decay
Timing Risk	Low – no expiry, early and gradual repricing	Medium – depends on credit event timing	High – timing must be correct
Implementation	Quite liquid	Rather illiquid – not widely available	Not Liquid – Hard to source and wide bid/ask

Historical Spreads

Current spread is historically low given the current environment

ICE BofA US High Yield Index Option-Adjusted Spread

Historically Low Spreads

All time low spread is 2.41, today's spread is 2.88. Last time spread was this low before 2024 was in 2006. The other periods with lower spreads between 2013 and 2024 are still significantly higher than what they are today

Historically High Spreads

(1) Dot Com Bubble
(2) Financial Crisis
(3) Covid

Possible Fragility

Whenever liquidity constraints arise we see spikes in the spread, and we believe that our chances of being in a similar situation today are much greater than that which is priced in by the spread

Our Trade: Short a Basket of US Tech Bonds

Strong upside potential if spreads widen in volatile or low-liquidity periods, and limited downside due to already tight spreads

Trade Idea Background

- Historically Low HY Credit Spreads
- Asymmetric Risk to Reward
- Macro Uncertainty and Equity Volatility

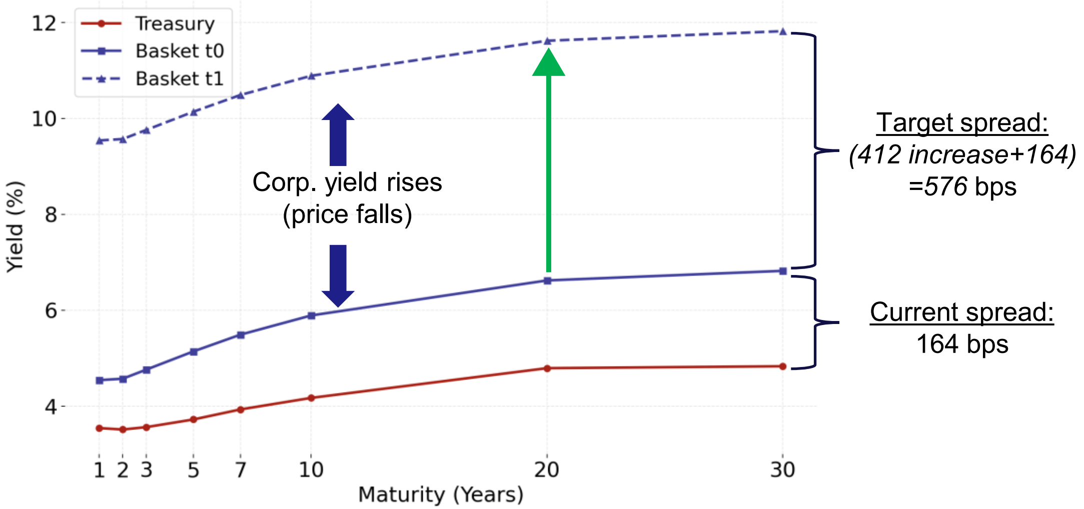
What does this imply?

- Historically low spreads should imply very limited market uncertainty
- Spreads cannot tighten much below 200 basis points without significantly increasing credit ratings in the next two years
- Due to possible volatility, worsening liquidity and default risk, corporate bond spreads may significantly increase

Why is this an advantage?

- We believe this is not accurate in the current climate, and profit if a correction occurs
- Our trade's possible downside is very limited
- Going long on spreads widening exposes us to extremely high upside in the event of market uncertainty and a liquidity squeeze

How Do We Profit From Our Idea?



Trade Leg A: SHORT Basket of Corporate bonds

Profit: ↑ ~~Risk-free rate~~ ↑ **Corporate Spread**

Goal: Spread Widening (Corp bond basket – US T-bond) ↑ **Spread**

Trade Leg B: LONG 30Y T Bond

Profit: ↓ ~~Risk-free rate~~

Basket of Bonds Chosen

We selected US Tech Bonds rated between BBB+ and CC with a maturity above 5Y

Criteria

Initial Universe: 518 872 bonds

S&P rating: BBB+ – CC
Matches: 27’148 bonds

BICS Classification: Tech
Matches: 820

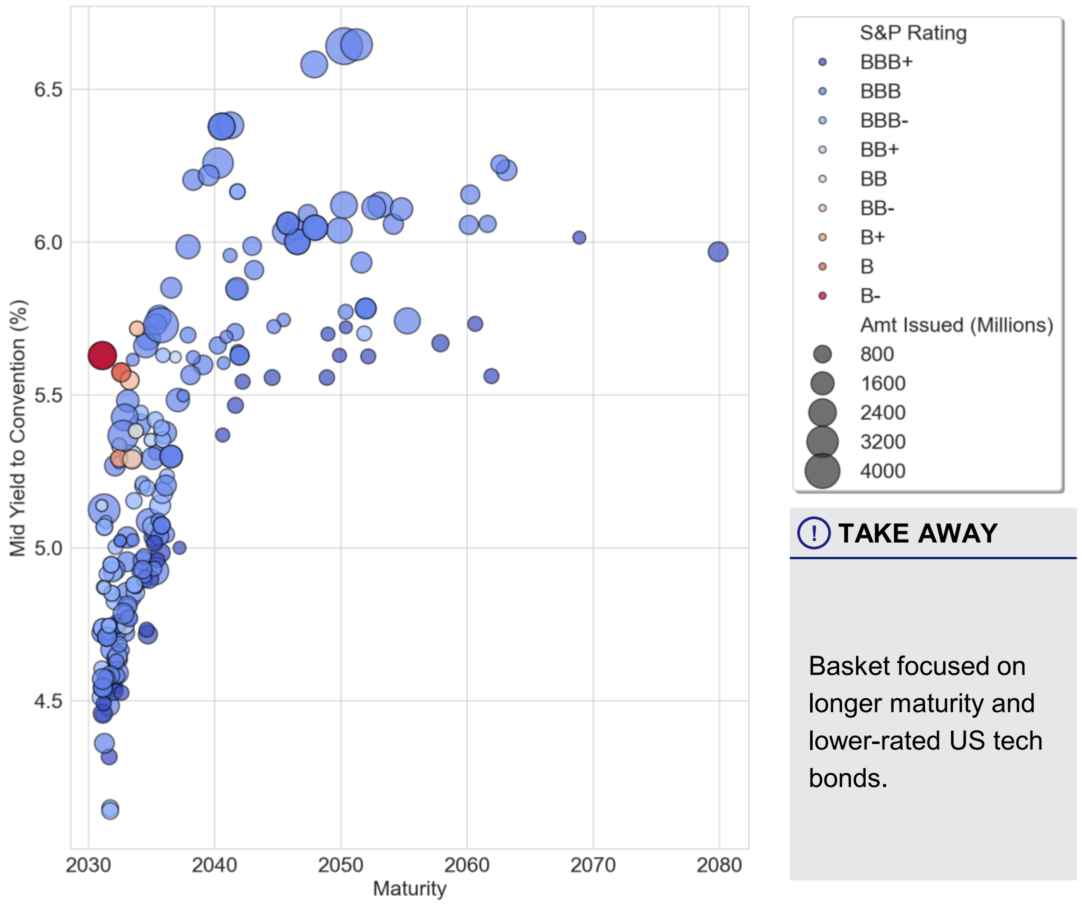
Country: USA
Matches: 632

I-Spread: 0–250 bps
Matches: 508

Maturity: >5Y
Matches: 210

Resulting basket: 210 bonds

Final Universe



TAKE AWAY

Basket focused on longer maturity and lower-rated US tech bonds.

Strategy Implementation

The Short Leg

We short a basket of 210 US HY Corporate Bonds, betting on their yield increasing

Operational Mechanics of a Short Position

1. You borrow corporate bond from a lender at today's market price
2. You sell the borrowed bonds and receive the cash proceeds

3. Bond prices fall, improving your short position
4. You repurchase the bonds at the lower price
5. You return the bonds to the lender

Short P&L Structure

Negative carry: P&L drifts down over time if the bond just sits still.

Bond price goes up (yield down): you lose money because you must buy back the bond at a higher price than you sold it.

Bond price goes down (yield up): you make money because you buy back cheaper than you sold.

P&L

= (Psell – P_{buy})∗N – Carry Costs

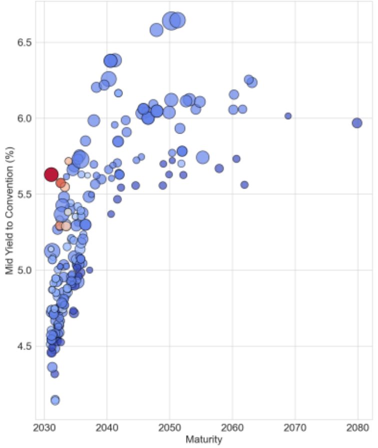
Maximum Profit

≈ 100% * Notional

Maximum Loss

Theoretically unlimited (practically bounded by interest-rate and credit constraints)

Short Bond Portfolio



<u>Key Data</u>

210 Bonds Equally weighted

Mean Yield:	5.56%
Mean Mod. Duration:	8.18
Average Rating:	BB+
Sector:	Tech/ Infrastructure
Callable Share:	>75%

Cost of Carry

Mean Yield of Bond Basket
5.56%

Securities Lending Rate
0.3%

Mean Cash Yield
4.24%

Carry
-1,62%

Sources

Notes: *Relative growth of sector within region

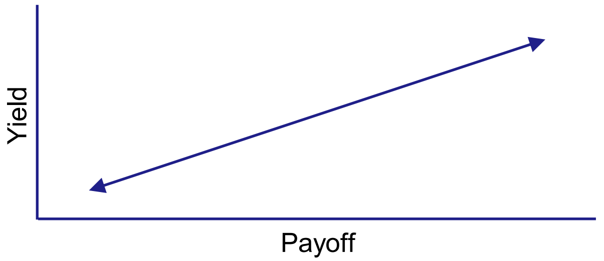
HIC CAPITAL

Hedging our Exposures

Protecting our downside risk for the short leg with a long position on 30y treasuries

Short-Leg

- US Corporate Bonds
- 1,836,600$ Notional Value
- Mean mod. Duration of 8.02
- Mostly Callable –> negative convexity

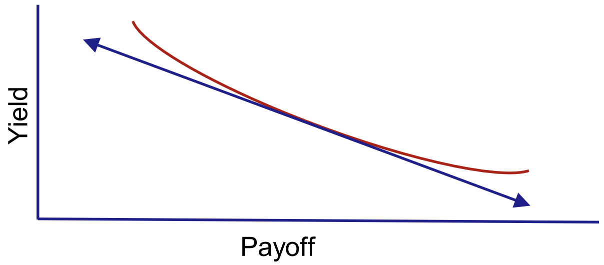


Full Exposure

- The trade is not affected by interest rate changes → initial DV01 = 0
- Positive convexity on the long leg only guarantees further upside through sudden rate changes
- We are only exposed to the spread

Long-Leg Protection

- 30y US Goverment Bonds
- 942,176$ Notional Value
- Mod. Duration of 15.6
- Lots of Convexity



What are Callable Bonds:
- Bond where issuer has the right to redeem before maturity at a preset call price
- Investor receives higher coupon as compensation for call risk and capped price upside
- When yields fall, price gains are capped as issuer is likely to call and refinance
- Price-yield curve bends downward at low yields, causing underperformance vs. straight bonds

Pros of only Using 30y Treasuries to Hedge:
- Only one Position
- Very efficient use of capital

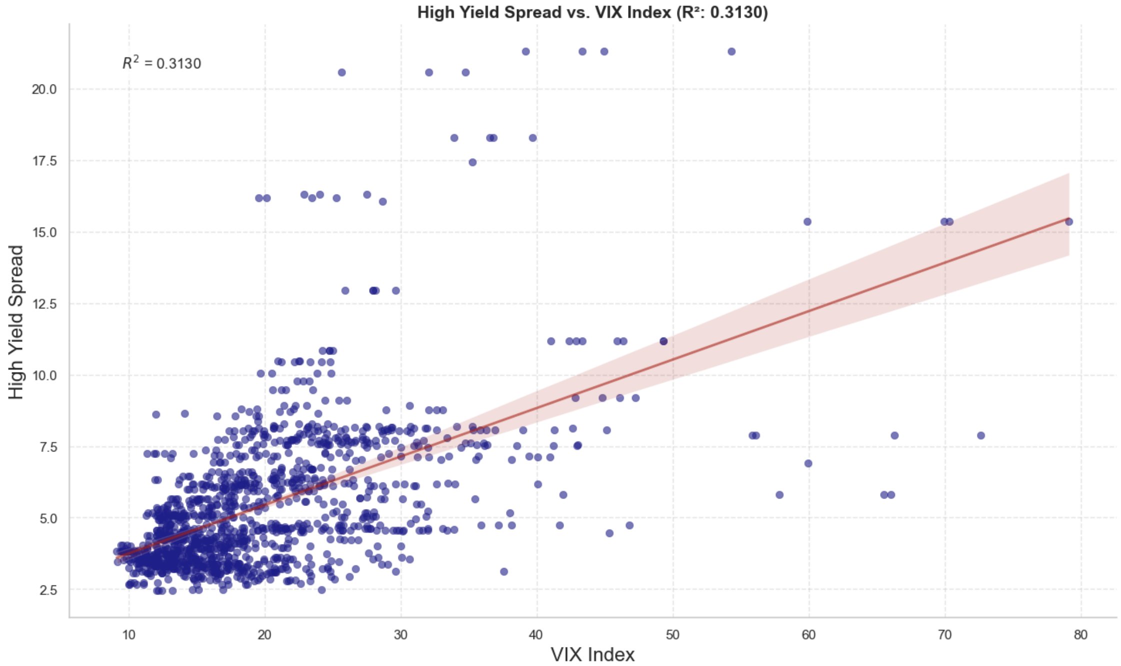
Contra of Using only 30y Treasuries to Hedge:
- Exposure to changes in the yield curve
- High convexity, we have to pay for -> would sell the convexity by selling swaptions without reducing our long leg's duration, but this is not possible over an exchange

Scenario Analysis

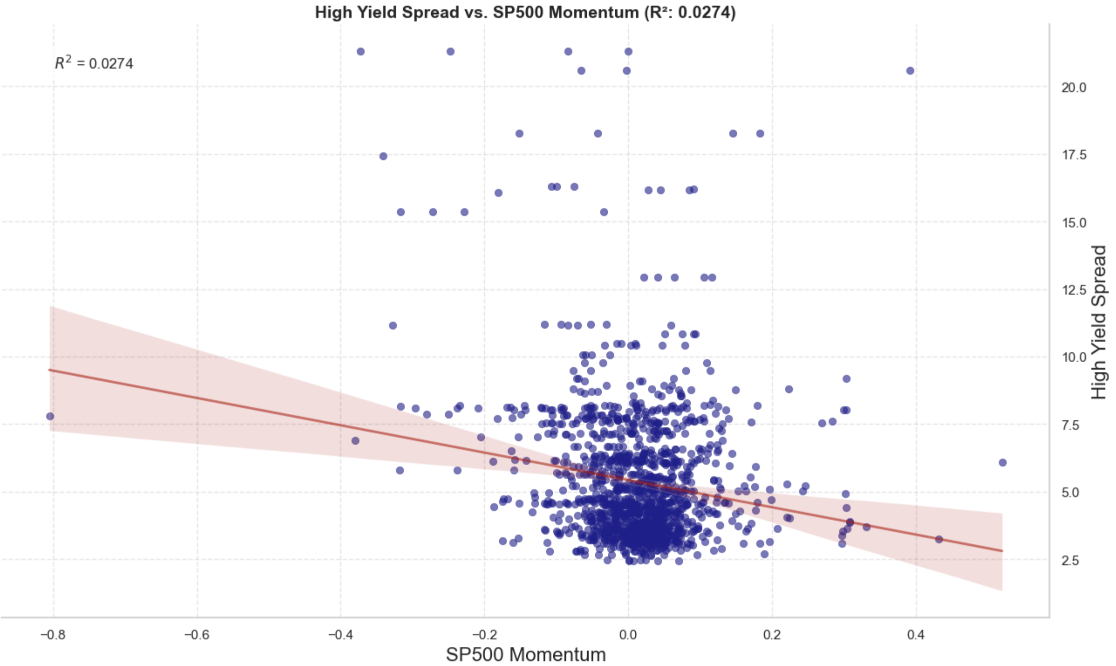
Asymmetry Between Equities and Bonds

Historically low US HY Tech spreads imply large downside from volatility or liquidity shocks, with limited upside

Correlation with the VIX



Correlation with the SPX



- When volatility is low, spreads are very tight, with limited room for further tightening
- When volatility peaks, credit spreads widen

Limitation: This chart shows the correlation of the BofA High Yield Index with different features rather than our basket of bonds directly

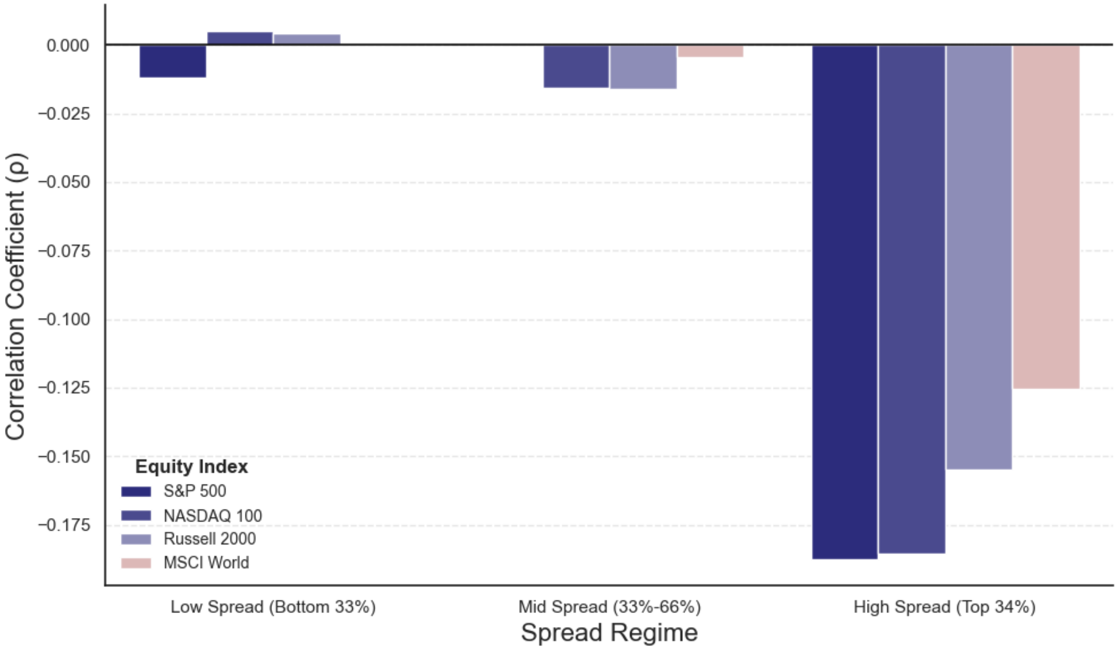
- When equities increase in value the spread moves down
- However, when equities decrease in value, spreads widen disproportionately more due to higher default sensitivity and a greater cost for liquidity.

Source: Bloomberg, FRED

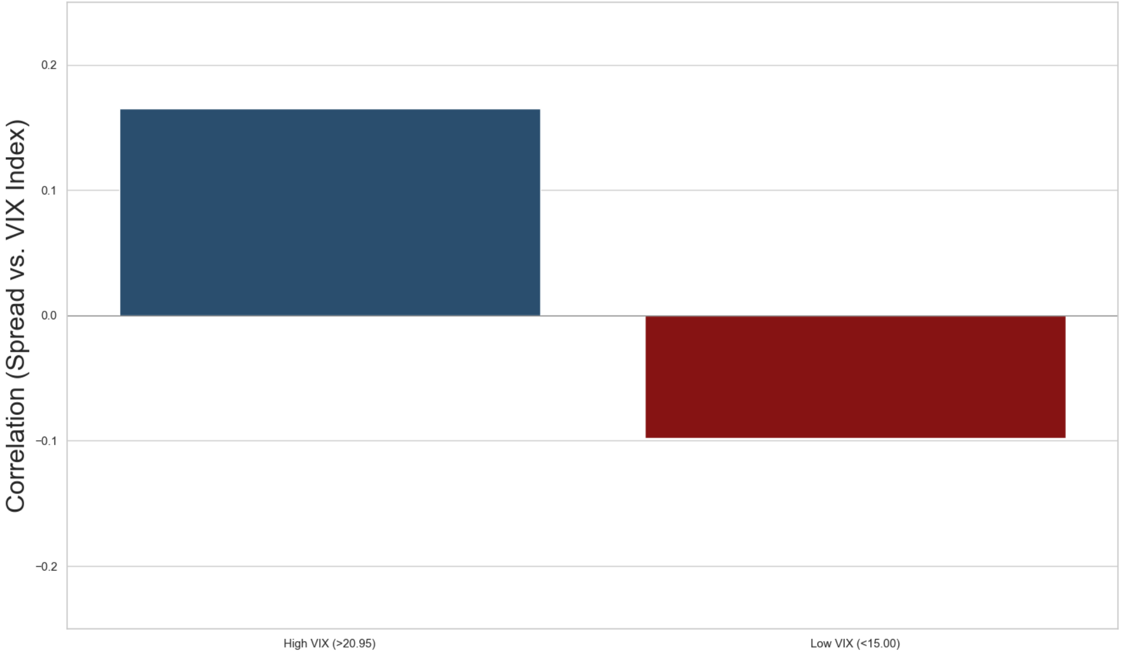
Correlation Equity Momentum and High Yield Bond Spreads

Correlation between Equity Momentum/Volatility and Spreads imply a capped downside, but convex upside for our trade

Correlation convexity between the Spread and Equity Momentum



Correlation between High and Low VIX & Low Spread



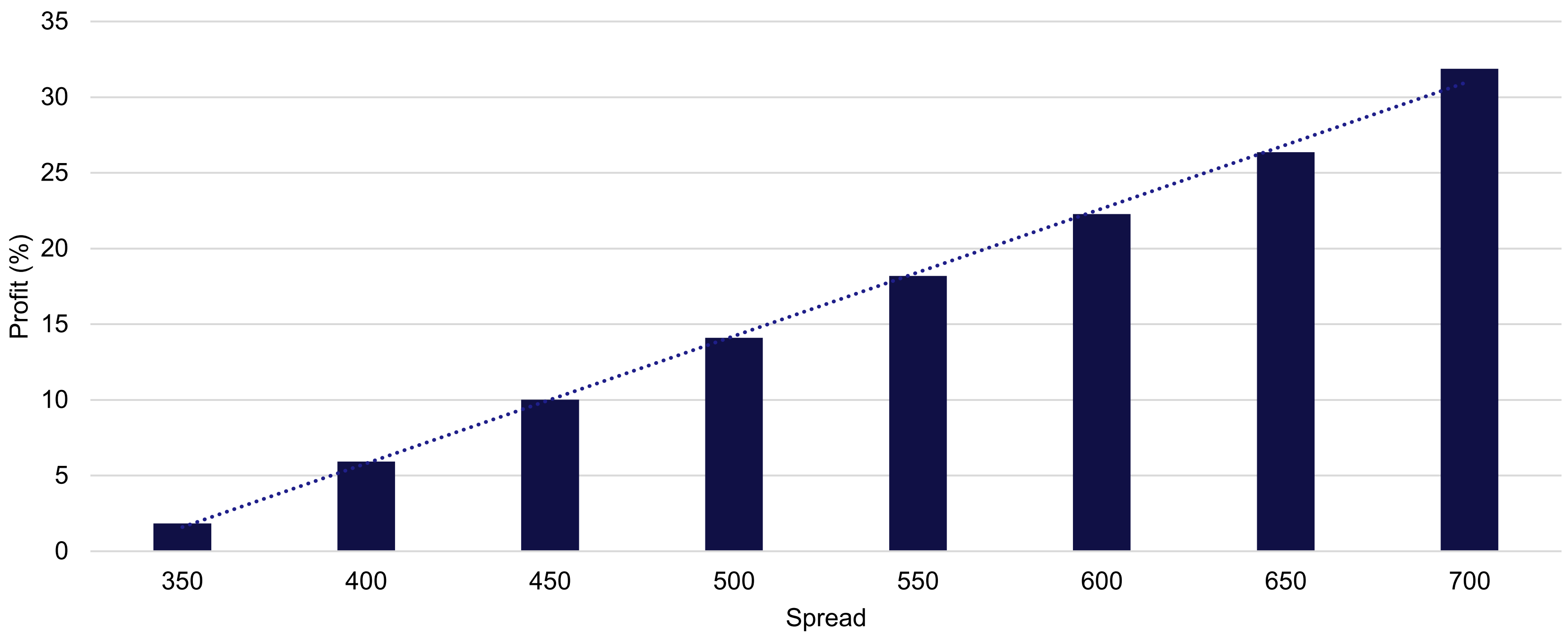
The wider the spread, the greater the correlation

- On the one hand, if the spread is tight, we see almost no correlation to equity momentum.
- On the other hand, if the spread widens, the correlation gets greater
- This further boosts our thesis because downside potential is capped while upside potential gets exponentially higher

- When the spread is low, its positive correlation is nearly twice as strong during high VIX periods as its negative correlation during low VIX periods
- Limited downside potential during calm phases + explosive upside if uncertainty quickly increases

Upside Potential

Liquidity moves out of HY into less risky assets



Spread hits 700 bps

31.18% Profit
- cumulative carry paid

1 **Market Uncertainty:**

- Narrative shifts from "productivity boom" to "capital-intensive, lower-return buildout", eroding confidence in leveraged AI beneficiaries
- High capex and slower cash flows push issuers toward distress, driving up default rates

2 **Increase in Volatility:**

- Higher volatility worsens risk-adjusted returns, pushing allocators toward low-risk assets
- Weaker demand forces investors to require higher compensation, widening credit spreads

3 **Decrease in Equity Valuations:**

- Falling valuations reduce risk appetite and raise required returns on risky assets
- Lower equity cushions make HY bonds riskier versus Treasuries, reallocating flows to safer investments and widening spreads

Source: Bloomberg, FRED

Downside Potential

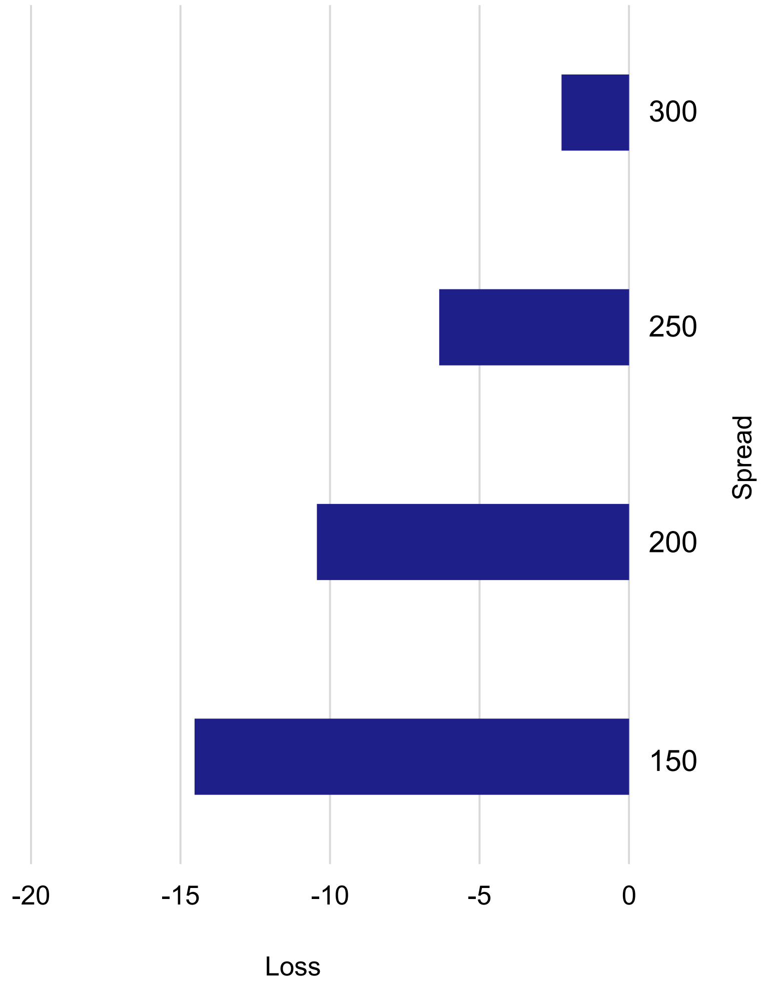
If everything goes wrong, we lose 14.5%

Spread doesn’t move: 3.2% downside

Companies in the basket report **steady balance sheets** and **growth**, two-way flow stays **stable**

Volatility is contained & liquidity is acceptable → allocators do **not feel a need** to rotate into **risk-free assets**; HY retains it’s role as a **yield source**

No liquidity premium is added to the spreads



Spread tightens to extreme levels: 14.5% downside

Strong AI-driven profits and **higher potential growth** raise risk appetite, so capital flows into equities

IG credit and selected HY that are seen as direct AI beneficiaries or stable funding plays, rather than out of credit into risk-free assets

Demand from yield-hungry investors and **index-tracking flows** absorbs supply

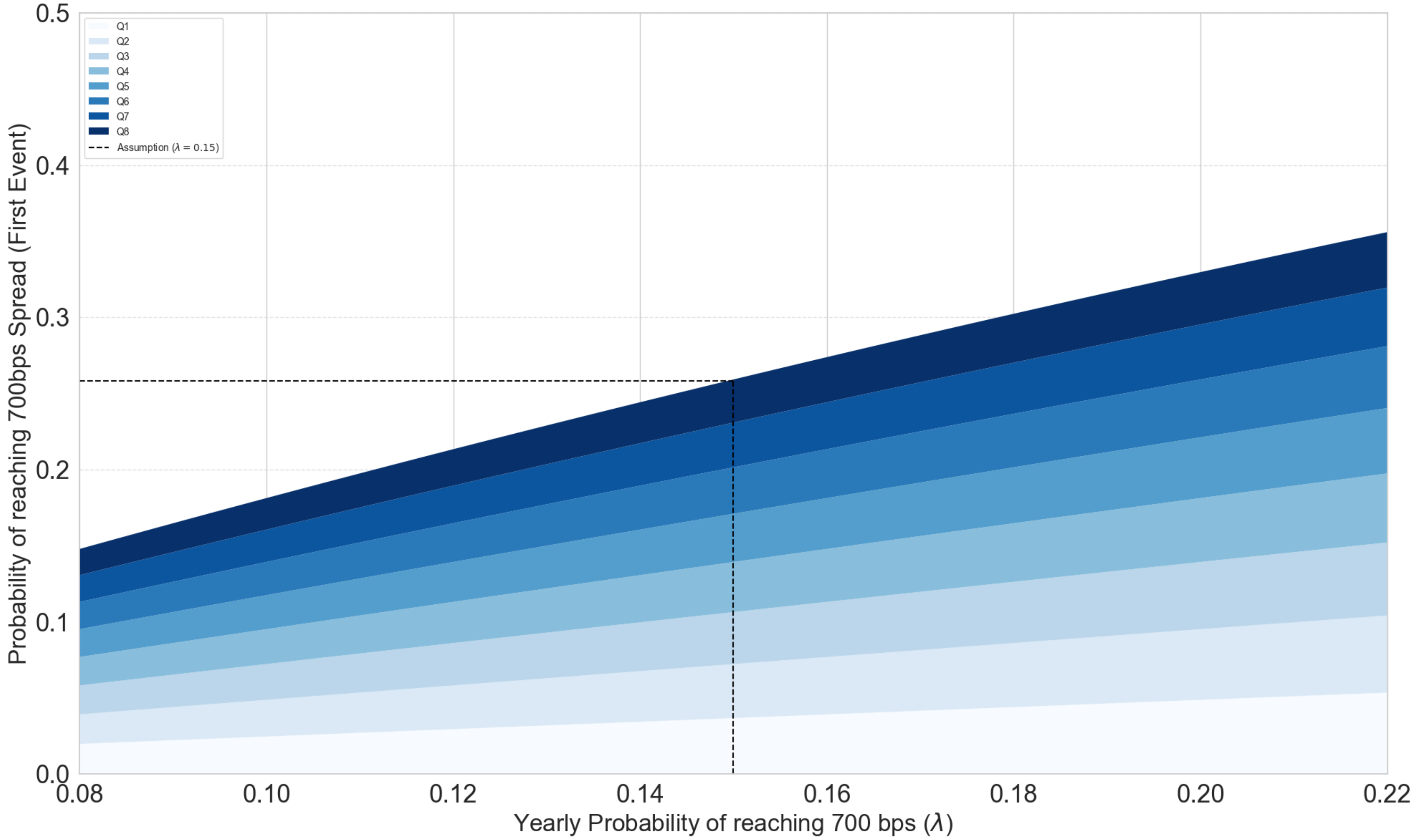
Source: Bloomberg

Sensitivity Analysis

Our trade is sensitive to our assumption of lambda

Commentary

- **λ (lambda)** represents the annual probability of the spread reaching **700 bps**
- Historically, this probability has been **18.5% per year**
- We apply a **conservative assumption**, setting **λ = 15%**
- A **higher λ** increases the likelihood of **taking profit earlier**
- A **higher λ** reduces the likelihood of **incurring a loss**
- Therefore, the probability of reaching a higher spread level **grows**
- Consequently, the **expected value**, as a function of λ, also **increases**



Trade Sizing – Determining Notional Short Amount

The Kelly Formula was utilized to size the trade, yielding a notional exposure requirement of \$1.84 million.

Kelly Formula

$$f^* = \frac{bp - q}{b}$$

Where:

- $\boldsymbol{f^*}$: optimal fraction of wealth to wager (Kelly fraction)
- $\boldsymbol{b}$: net odds received on the wager (i.e. win pays b: 1)
- $\boldsymbol{p}$: probability of winning
- $\boldsymbol{q} = 1 - p$: probability of losing

Choosing Terminal States & Calculating the Inputs for the Kelly Formula

Holding period in fiscal quarters

spread in bp	1	2	3	4	5	6	7	8	Probabilities of holding for two years & ending on specific spread
150	-11,69	-12,10	-12,50	-12,91	-13,31	-13,72	-14,12	**-14,53**	0,37%
200	-7,60	-8,01	-8,41	-8,82	-9,22	-9,63	-10,03	**-10,44**	2,96%
250	-3,51	-3,92	-4,32	-4,73	-5,13	-5,54	-5,94	**-6,35**	19,26%
300	0,58	0,17	-0,23	-0,64	-1,04	-1,45	-1,85	**-2,26**	17,04%
350	4,67	4,26	3,86	3,45	3,05	2,64	2,24	**1,83**	11,11%
400	8,76	8,35	7,95	7,54	7,14	6,73	6,33	**5,92**	8,15%
450	12,85	12,44	12,04	11,63	11,23	10,82	10,42	**10,01**	5,56%
500	16,94	16,53	16,13	15,72	15,32	14,91	14,51	**14,10**	3,70%
550	21,03	20,62	20,22	19,81	19,41	19,00	18,60	**18,19**	2,59%
600	25,12	24,71	24,31	23,90	23,50	23,09	22,69	**22,28**	1,85%
650	29,21	28,80	28,40	27,99	27,59	27,18	26,78	**26,37**	1,48%
700	**33,30**	**32,89**	**32,49**	**32,08**	**31,68**	**31,27**	**30,87**	**30,46**	**2,83%**
	3,68%	**3,55%**	**3,41%**	**3,29%**	**3,17%**	**3,05%**	**2,94%**	**2,83%**	

Probabilies for reaching Take-Profit of 700bp calculated with a Poisson Distribution (λ = 0,15)

Calculating Kelly Criterion

Given: $p = 0.6037, q = 1 - p = 0.3963, \bar{W} = 11.1193, \bar{L} = -1.9707$

Win/loss ratio:

$$b = \frac{\bar{W}}{|\bar{L}|} \approx \frac{11.1193}{1.9707} \approx 5.6423$$

Kelly formula:

$$f^* = \frac{b \cdot p - q}{b} = \frac{5.6423 \cdot 0.6037 - 0.3963}{5.6423} \approx \frac{3.4060 - 0.3963}{5.6423} \approx \frac{3.0097}{5.6423} \approx \mathbf{0.5334}$$

⇒ f* ≈ 0.53 (risking about 53% of capital)

Half Kelly:

$$\boxed{\frac{f^*}{2} \approx 0.2667}$$

Calculating Notional Trade Value from Kelly

Half-Kelly Risk Allocation

$$E = 1'000'000 \quad , \quad f_{half} = \frac{f^*}{2} = 0.2667$$

$$\text{Risk capital} = E \cdot f_{half} = 1'000'000 \cdot 0.2667 = 266'700$$

Maximum Loss Constraint

$$\max \text{Loss} = 0.1453 \cdot \text{Notional}$$

Since the maximum acceptable loss must equal the Half-Kelly risk capital:

$$0.1453 \cdot \text{Notional} = 266'700$$

$$\text{Notional} = \frac{266700}{0.1454} \approx 1'836'600$$

⇒ Notional ≈ 1,84 million.

Conclusion

Summary: Strategy Implementation

HIC Capital Markets Fund goes long the HY US Corporate Credit Spread

The Trade Consists of...	
Capital Flows	• Fund Size: 1,000,000\$ • Borrow 1,836,600\$ worth of HY US Corporate Bonds -> sell them at market price • Buy 942,176\$ worth of 30y US treasuries • Invest 894,424\$ in Money Market Funds • Negative Carry Payments of 7438\$ every quarter out of the Fund
Credit Holdings	• Short 1,836,600\$ of HY US Corporate Bonds • 367,320\$ in Margin invested at SOFR • 942,176\$ invested in 30y US treasuries • The remaining 527,104\$ invested in a Money Market Fund to potentially post more margin
Szenarios	• Worst Case Szenario (138bp drop in Spread) ⇒ Loss of 267,700\$ • The Spread doesn´t change ⇒ Loss of 59,505\$ over two years • Take Profit ⇒ Profit of 586,977\$

Conclusion

Final trade summary

Trade

- Short a basket of low investment-grade to high yield bonds of U.S. technology companies
- Hedge interest rate exposure through a 30-Year Treasury long leg
- Invest remaining short proceeds into money markets at SOFR
- Take profit at 576bps spreads or close trade after 2 years

Upside Scenario

- The average credit spread in our basket hits 576bps following a market uncertainty shock in the next 2 years
- Alternatively: We close the trade after 2 years with the average spread having risen more relatively than what we had to pay in negative carry
- Expected upside (under the condition of positive P&L):
  20.46% of portfolio value
  → Probabiliy of upside: 63%

Downside Scenario

- The average credit spread in our basket does not hit 576bps in the next two years and we close the trade after 2 years with stable spreads
- Alternatively: We close the trade after two years with spreads dropping even lower (assumed worst case being 30bps)
- Expected downside (under the condition of negative P&L):
  -3.63% of portfolio value
  → Probability of downside: 37%

Recommendation

LONG the spread with a time horizon of 2 years

Expected profit: 17.21% of portfolio value

Appendix

Appendix:

Porter’s Five Forces Quantitative Analysis Wind Power

Visual representations of major forces at play in Wind Power

Total Points = 314